Japan Economic Flash: Raising Our FY2027 Inflation Forecasts Due to Weaker Yen, Higher Memory Chip Prices, and Rebound in Food Prices

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- We raise our inflation forecasts for FY2027. Our forecasts for new core CPI (excludes fresh food and energy) in FY2026 and FY2027 are 2.1% (unchanged from previous forecast) and 2.3% (+0.3pp), respectively.
- The upward revision to our FY2027 forecasts reflect our forex research team's revised forecast (12-month forecast: from ¥155/US$ to ¥165/US$), a significant rise in memory chip prices, and higher food prices partly due to weather factors. While these factors will accelerate inflation not only in FY2027 but also in FY2026, our FY2026 inflation forecast remains unchanged, since the rise in private services prices is tracking below our forecast. Naphtha-flation (the rise in naphtha-related product prices) took a breather in the June corporate goods price index (CGPI, goods-PPI equivalent) print. This is consistent with our forecast that the margin of price increases will narrow as pass-through progresses downstream. We expect some price increases from June, mainly in non-durable goods, but the margin of increase in retail prices, which are the farthest downstream in the supply chain, is likely to be small.
- Meanwhile, our core CPI (excludes fresh food) forecasts for FY2026 and FY2027 are also revised to be 2.1% (-0.2pp from our previous forecast) and 2.3% (+0.2pp), respectively. The downward revision for FY2026 reflects crude oil prices trending at levels below our previous forecast, as well as the government's price control measures exceeding our initial assumptions in scale. Our commodities research team has also revised down its crude oil price forecast for FY2027, and reflecting this, the upward revision for FY2027 is smaller than that of the new core CPI.
- This forecast revision does not incorporate the upcoming CPI base-year revision in August as well as the potential consumption tax cut which the government may implement from April 2027. While the impact of the CPI base-year revision to our forecast is unclear, inflation rate could decline significantly with the start of the tax cut, from April 2027.

Raising Our FY2027 Inflation Forecasts Due to Weaker Yen, Higher Memory Chip Prices, and Rebound in Food Prices

Upward Revisions to New Core CPI Outlook, Mainly in FY2027

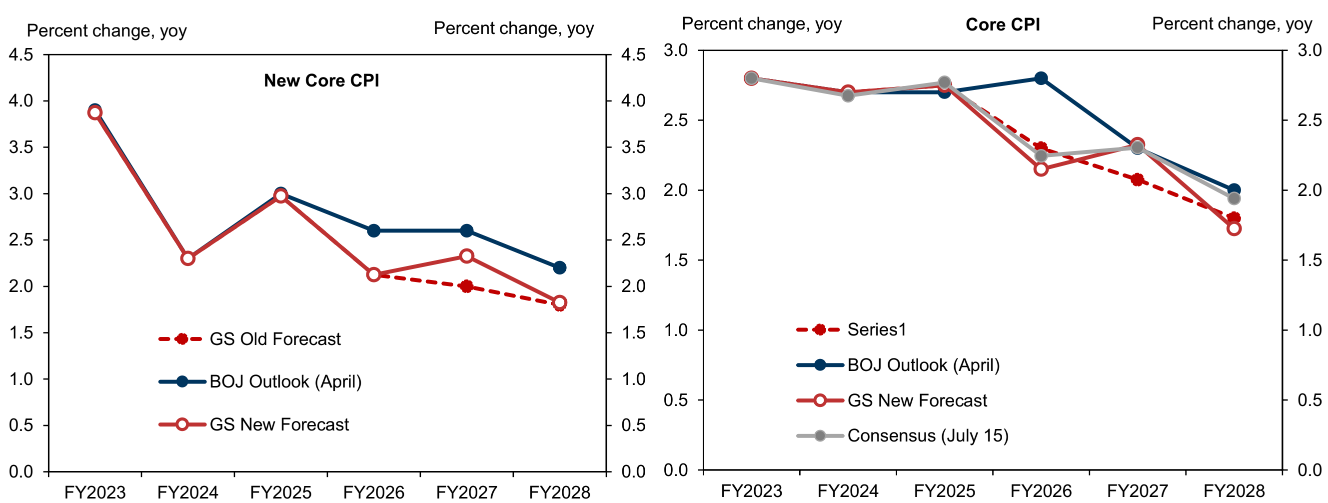
We revise our inflation forecasts mainly to incorporate changes in our forex forecasts and higher memory chip prices (Exhibit 1). Our new core CPI (excludes fresh food and energy) forecasts for FY2026 and FY2027 are 2.1% (unchanged vs. previous forecast) and 2.3% (+0.3pp).

The upward revisions to the new core CPI are concentrated in FY2027, driven mainly by our forex research team's revised USD/JPY forecast toward a weaker yen (12-month forecast: from ¥155/US$ to ¥165/US$), the expected impact of higher memory chip prices on the CPI from fall 2026 through H1 2027, and higher food prices in 2026-2027. Of these, higher memory chip and food prices are also upside factors for the FY2026 inflation rate. However, as discussed later, they are offset by the increase in private services prices tracking below our expectations, leaving the new core CPI outlook for FY2026 unchanged. In this note, we examine each price fluctuation factor.

We also note that in the upcoming once-every-five-year base year revision for the CPI on August 7, the CPI inflation rate for January-June 2026 is subject to retroactive revision and could also impact the future inflation rate (we estimate a small upward revision to January-June 2026 inflation rate, while the new base year could exert downward pressure on the future CPI, although uncertainty is high). We plan to review our inflation forecast once the new CPI series is officially released.

In addition, we currently do not incorporate a potential consumption tax cut in our base-case forecasts. Therefore, our core CPI inflation forecasts from April 2027, the expected starting period for a possible tax cut, could decline by 1.3pp with a tax cut.

Exhibit 1: Inflation Outlook Raised, Mainly for FY2027



Source: Ministry of Internal Affairs and Communications, BoJ, JCER, Goldman Sachs Global Investment Research

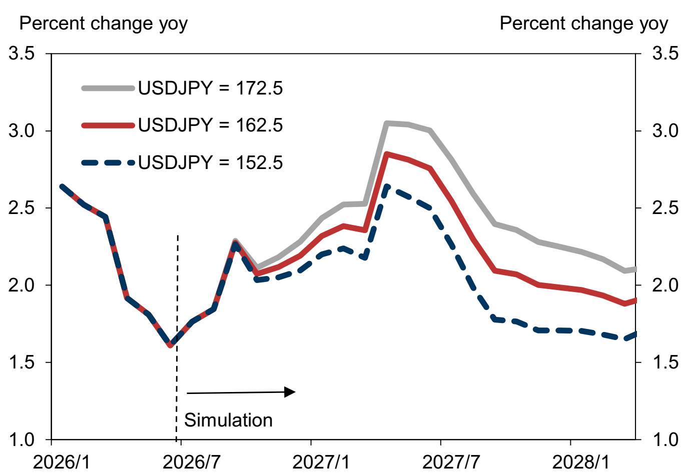
Forex: Upside Risk to Prices From Further Yen Depreciation of Around ¥5 Is Small, but Impact on Monetary Policy Cannot Be Ignored

One reason for the upside in the FY2027 inflation rate shown in Exhibit 1 is that our forex research team revised its 12-month USD/JPY forecast from ¥155/US$ to ¥165/US$. In our model, a ¥10 depreciation of the yen (a weaker yen of just over 6% in terms of rate of change) pushes up the new core CPI by 0.25pp 12 months later.

The rate of change in the forex rate is what affects the inflation rate (Exhibit 2). Therefore, given that the yen has already depreciated to a level exceeding ¥160, even if the yen were to weaken by several yen beyond our team's forecast of ¥165/US$, we would expect upside to the inflation rate to be limited. However, the Bank of Japan (BOJ) is becoming increasingly vigilant against the risk of underlying inflation rising above 2%, and some of BOJ's indicators of underlying inflation are approaching 2%. Consequently, even a relatively modest upside surprise to prices could heighten BOJ concerns over the risk of underlying inflation exceeding 2%.

Exhibit 2: Compared to When the USD/JPY Rate Was Around ¥100/US$, the Impact of a ¥10 Fluctuation on the Inflation Rate Is Smaller

Impact of USD/JPY Fluctuations on New Core CPI



Source: Ministry of Internal Affairs and Communications, Goldman Sachs Global Investment Research

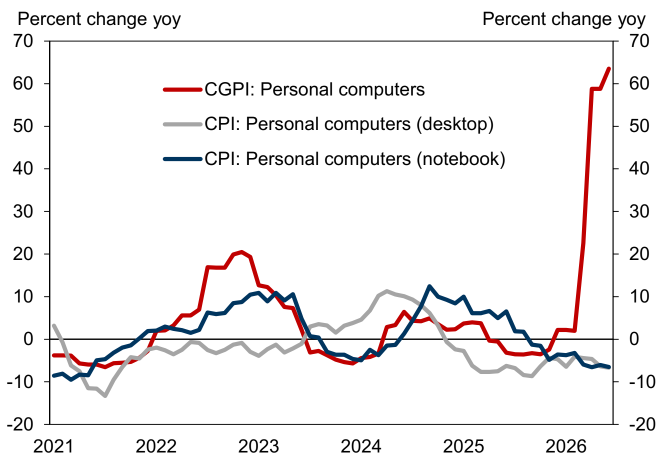
AI-Related: The CPI-Boosting Effect of Higher Memory Chip Prices

Along with the rapid surge in demand related to AI servers, memory chip prices have skyrocketed since H2 2025, with spot prices reportedly up seven-fold yoy (*Nikkei*, June 29). Reflecting this movement, B2B prices for PCs have already soared since April. In light of this, we expect PC prices in the CPI, which tend to lag B2B prices by several months, to rise going forward (Exhibit 3). However, since retail prices are also influenced by logistics costs and labor costs at the retail level, it is unlikely that PC retail prices will be hiked as much as the increase in B2B prices. Furthermore, since the weighting of PCs and tablets in the CPI is only just over 0.3%, the resulting boost to the CPI could be limited to a cumulative c.0.05pp.

Mobile phones have a larger impact on the CPI since they account for about 1% of the

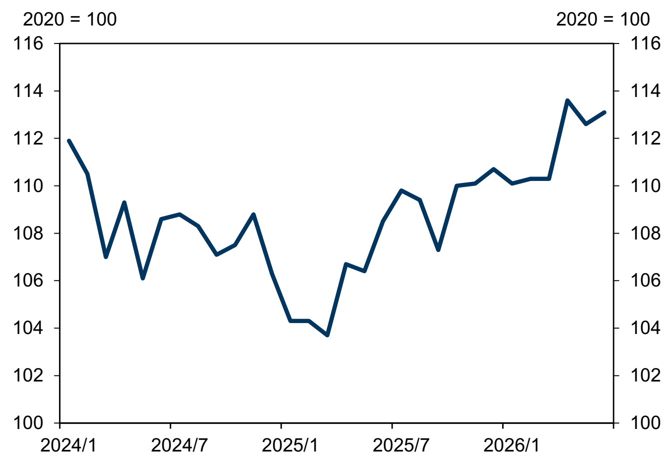
CPI weight (Exhibit 4).[1] While retail prices have been raised for some models on soaring component prices, the iPhone, which has about a 50% share of the mobile phone market in Japan, will reportedly see the launch of new products in two stages this fall and next spring, and price hikes are anticipated. If prices are raised by nearly 20% as reported, the iPhone price hike alone would push up next year's CPI by about 0.1pp, an impact that cannot be ignored.

Exhibit 3: PC Prices in the PPI, Which Leads the CPI by Several Months, Surged in April
Domestic Corporate Goods Prices and CPI PC Prices



Source: BoJ, Ministry of Internal Affairs and Communications

Exhibit 4: Mobile Phone Price Hikes Reflecting Surging Memory Prices Have Just Begun
Mobile Phone Prices in CPI



Source: Ministry of Internal Affairs and Communications

Food Inflation: A Third Wave Arrives, but Lower Rice Prices Serve as a Dampening Factor

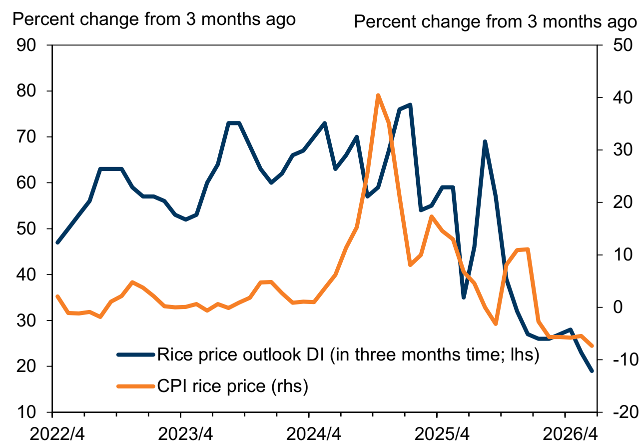
Food prices, which rose significantly in 2024-25 driven primarily by rice prices, have seen relatively limited price increases since the end of 2025, becoming the main driver of the inflation rate slowdown over the past half-year. Rice prices, which drove food inflation in 2024-25, are likely to continue declining due to increased inventories (Exhibit 5).

However, according to a Teikoku Databank survey, the number of food items subject to price hikes is expected to increase again from July, making it likely that a third wave of food inflation will push up the CPI going forward (Exhibit 5). On this point, micro-level information from the BOJ's July Branch Managers' Meeting also indicated that many companies are considering price hikes from the summer onward. This is partly due to much higher packaging film prices driven by higher naphtha prices, but the contribution from prices for imported food ingredients, which continue to rise mainly for meat prices, is also seen as significant.

In addition, wheat planting in the US and Australia is declining due to weather conditions and other factors, and the import price of meat, which accounts for 20% of food import value, continues to rise. Thus, the rise in related food prices is likely to continue next year as well.

[1] However, the 2025 base year revision lowers the weight from 0.90% to 0.58%, reducing the positive contribution. See this comment for the details.

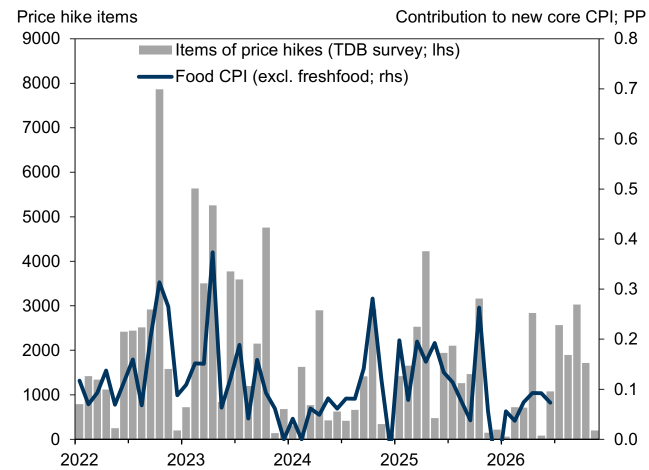
Exhibit 5: Rice Prices Likely to Continue Declining
Rice Price Outlook DI and CPI Rice Prices



The DI is an index of the difference between the percentage of dealers answering that "rice prices over the next three months will rise compared to current prices" and the percentage answering that they will "decline."

Source: Ministry of Internal Affairs and Communications, Japan Rice Stable Supply Support Organization, Data compiled by Goldman Sachs Global Investment Research

Exhibit 6: Food Prices Expected to Rise Again From the Summer
Number of Food Items Subject to Price Hikes and Food CPI



Source: Teikoku Data Bank, Ministry of Internal Affairs and Communications, Data compiled by Goldman Sachs Global Investment Research

Naphtha-flation: Impact on CPI Likely to Remain Small

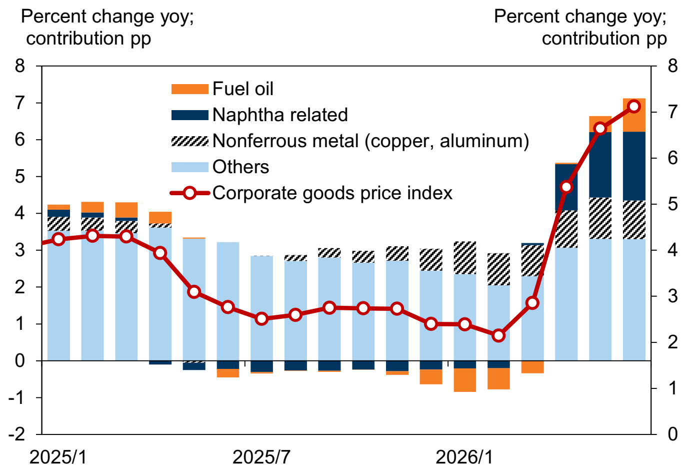
We have previously expected the cumulative impact of soaring naphtha prices on the CPI to remain at +0.2-0.3pp, and we make no change to this forecast at this point. The CGPI (goods PPI equivalent) rose further in June, but no notable acceleration was seen in prices of naphtha-related items (naphtha, chemicals, plastic products, and rubber products), as Exhibit 7 indicates. As we pointed out before, this is likely because the margin of price increases shrinks as pass-through moves downstream. If the scale of pass-through downstream continues to lessen in this manner, the margin of increase in retail prices, which are the farthest downstream, is likely to remain small.

However, moves to raise B2B prices have been observed in July, mainly for construction material-related products (derived by increases in naphtha prices), posing upside risks to the July CGPI.[2] Furthermore, retail price hikes, seemingly stemming from surging naphtha prices, are scheduled from July onward for detergents, automobile tires, apparel, and other items, so we expect some positive contribution centered on non-durable goods prices.

The acceleration in the June CGPI was almost entirely due to higher fuel prices (such as jet fuel, kerosene, and heavy fuel oil; Exhibit 7). If fuel prices continue to rise, they could broadly push up import prices. However, the rate of fuel price increase is only about half the 2021 level.

[2] In addition, the CGPI includes many items for which price revisions are effectively only carried out in January, April, July, and October. Therefore we are more likely to see price rises in July.

Exhibit 7: Acceleration of Naphtha-flation Pauses in June B2B Prices
CGPI YoY Growth Rate and Contributions



Source: BoJ, Data compiled by Goldman Sachs Global Investment Research

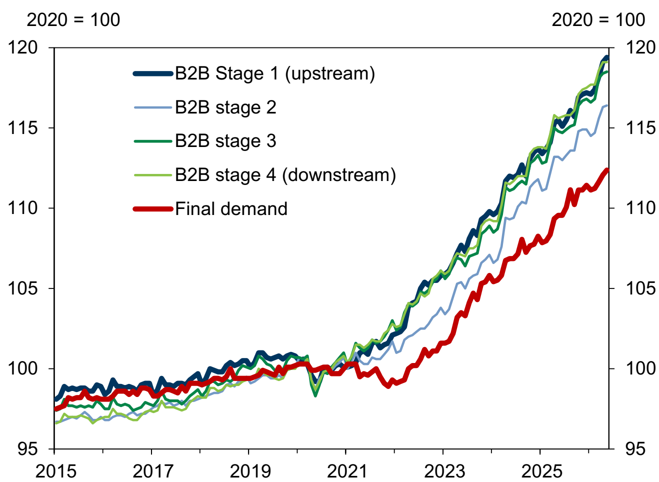
Private Services Prices: Pass-Through of Wage Hikes Remains Sluggish in Labor Intensive Sectors

In recent years, the pass-through of increased production costs has become more visible in goods prices, such as food products. In the service industries, however, the pace of increase in final demand prices (the majority of which are retail prices) remains sluggish compared to price increases upstream in the supply chain. Exhibit 8 shows a weighted average of various B2B service prices grouped by stage of the supply chain (the most upstream B2B service prices belong to Stage 1, with prices positioned progressively downstream classified into Stages 2, 3, and 4, while the most downstream prices, which are predominantly B2C, are grouped under final demand). The chart indicates that the lag in price increases is observed only at the final demand stage.

This trend is particularly pronounced in labor-intensive B2C services industries. The BOJ's labor-intensive corporate services (services with a high labor cost ratio) prices are rising in tandem with the wage growth rate, indicating that the pass-through of personnel costs in B2B prices is progressing smoothly. However, the labor-intensive private services CPI, our estimate using a similar methodology, remains at a low growth rate (Exhibit 9).

We had expected services prices to also rise to some extent in April—a month when private services price revisions are concentrated—reflecting the high wage growth rate, but the actual margin of increase in April-May was smaller than expected.

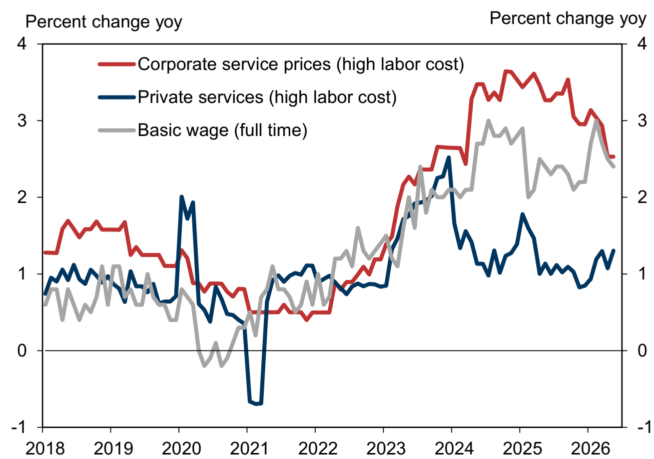
Exhibit 8: In the Services Industry, Pass-Through to Final Demand Prices Lags Price Increases Upstream in the Supply Chain
B2B and B2C Service Prices Grouped by Stage of the Supply Chain (FD-ID Price Index)



For final demand services prices, we have removed special factors such as free high school tuition.

Source: BoJ, Data compiled by Goldman Sachs Global Investment Research

Exhibit 9: Despite Accelerating Wage Growth, No Signs of Acceleration Apparent in Labor-Intensive Retail Services Prices
Basic Wage Growth and Services Prices

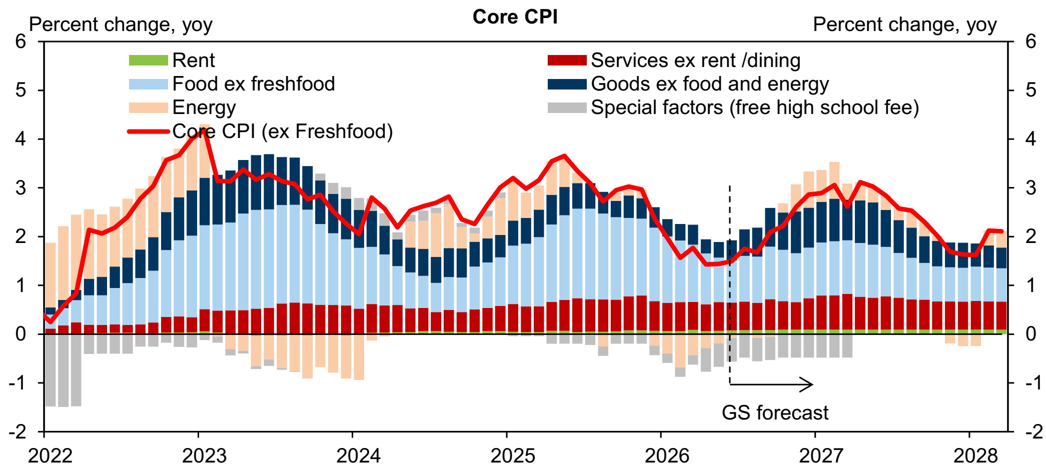


Source: BoJ, Ministry of Health, Labour and Welfare

FY2026 Core CPI Outlook Revised Down, FY2027 Revised Up

We revise our core CPI (excludes fresh food) forecasts to 2.1% (-0.2pp from previous forecast) for FY2026 and 2.3% (+0.2pp) for FY2027. In contrast to the new core CPI forecast for FY2026, which is unchanged from our previous forecast, we lower our core CPI forecast mainly because crude oil prices are below our forecast as of April, and the electricity and gas price control measures for the summer of 2026 exceeded our initial assumptions in scale (Exhibit 10).

Exhibit 10: Core CPI Expected to Turn Up in the Summer and Accelerate in November
Core CPI Forecast and Factor Decomposition



To avoid complicating the exhibit, only factors other than energy price control measures are listed as special factors (energy prices include the impact of policy factors).

Source: Ministry of Internal Affairs and Communications, Goldman Sachs Global Investment Research

Regarding FY2027 as well, we raise our core CPI forecast by less than the new core CPI, reflecting the downward revision to the crude oil price forecast by our commodities research team (whereas their forecast as of April 2026 was for the Brent price to remain at US$80/bbl throughout 2027, the team has now revised this to a decline to US$70 by the end of 2027).

Energy Prices: Price Risks Are Two-Sided Amid Fluid Middle East Situation, but Government Price Control Measures Likely to Suppress Core CPI Volatility

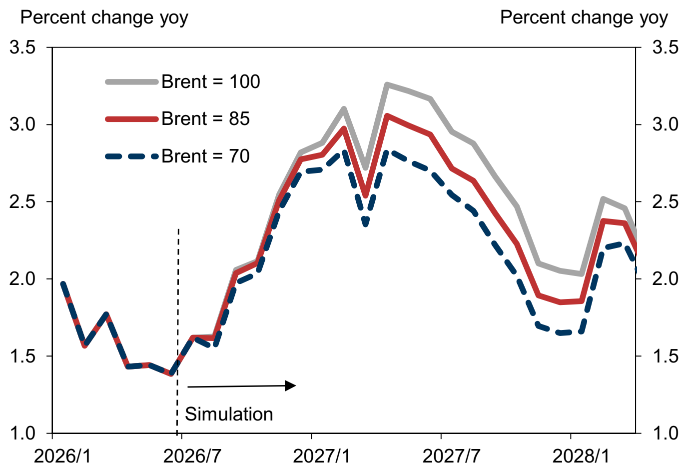
We assume that crude oil prices will return to US$70/bbl, the level before the deterioration of the Middle East situation, by the end of 2027. As a result, gasoline prices would fall below ¥170/liter in 2027, and the fuel price control measures, which are designed to keep gasoline prices below ¥170, are expected to naturally expire. We also assume that electricity and gas price control measures will be scaled back in 2027 in tandem with the decline in crude oil prices, and terminated in the winter of 2027.

However, crude oil price uncertainty is high, with the Middle East situation remaining fluid. Exhibit 11 shows our estimates of the trajectory of the core CPI assuming crude oil prices are held constant at US$70, US$85, and US$100/bbl going forward. The reaction of core CPI to crude oil prices is smaller than before, because gasoline prices are effectively fixed by the government.[3]

[3] In the scenario where crude oil prices are US$70/bbl, the gasoline price control measures would naturally expire, generating a minor but early negative contribution to the core CPI.

Exhibit 11: Due to Government Price Control Measures, the Impact of Crude Oil Prices on Core CPI Is Smaller Than Before

Core CPI Inflation Rate Simulation by Crude Oil Price Scenario



Source: Ministry of Internal Affairs and Communications, Goldman Sachs Global Investment Research

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